minimized only by the exercise of constant supervisory care, in addition to the painstaking process of initial choice, has not such investment become more trouble than it is worth? Let it be assumed that the typical investor, following the conservative standards of selection herein recommended, will average a yield of 3½% on a diversified list of corporate securities. This 3½% return appears substantially higher than the 2½% obtainable from long-term United States government bonds and also more attractive than the 2 or 2½% offered by savings banks. Nevertheless, if we take into account not only the effort required to make a proper selection but also the greater efforts entailed by the subsequent repeated check-ups, and if we then add thereto the still inescapable risk of depreciation or definite loss, it must be confessed that a rather plausible argument can be constructed against the advisability of fixed-value investments in general. The old idea of permanent, trouble-free holdings was grounded on the not illogical feeling that if a limited-return investment could not be regarded as trouble-free it was not worth making at all.

Superiority of United States Savings Bonds. Objectively considered, investment experience of the last decade undoubtedly points away from the fixed-value security field and into the direction of (1) United States government bonds or savings-bank deposits; or (2) admittedly speculative operations, with endeavors to reduce risk and increase profits by means of skillful effort; or (3) a search for the exceptional combination of safety of principal with a chance for substantial profit. For all people of moderate means United States Savings Bonds undoubtedly offer the most suitable medium for fixed-value investment. In fact we are inclined to state categorically that, on the basis of 1940 interest yields, their superiority to other issues makes them the *only* sensible purchase of this type. The reason is, of course, that it is not possible to obtain a significantly higher return on investment issues (save for a few obscure exceptions) without injecting an element of principal risk which makes the commitment unsound. In addition the holder's redemption right before maturity is a very valuable feature of the bonds. If only small investors as a class would resolutely reject the various types of "savings plans," with their multifarious titles, now being offered to them with an ostensible "sure income return" of 4 to 6%, and thankfully take advantage of the 2.90% available on United States Savings Bonds, we are convinced that they would save in the aggregate an enormous amount of money, trouble and heartbreak.